

Economics

Higher level / Standard level

Paper 1

SME Mark Scheme — Paper 1 Hard

Use the question-specific mark scheme together with the mark bands. Award up to the maximum marks as indicated.

1. (a) Using appropriate diagrams, explain how negative production externalities lead to market failure and a welfare loss. **[10]**

Answers **may** include:

- **Terminology:** Market failure, externality, MPC, MSC, MPB, MSB, welfare (dead-weight) loss, social optimum, allocative efficiency.
- **Diagram:** A negative externality of production diagram with $MSC > MPC$, the market equilibrium at $Q_m > Q^*$ and a clearly shaded welfare-loss triangle.
- **Theory:** An explanation that when private costs are less than social costs the market over-produces, allocating too many resources to the good. The welfare loss measures the lost benefit to society from the over-consumed units.

Assessment Criteria — Part (a) 10 marks

Marks	Level descriptor
0	<i>The work does not reach a standard described by the descriptors below.</i>
1–2	The response indicates little understanding of the specific demands of the question. Economic theory is stated but it is not relevant. Economic terms are stated but they are not relevant.
3–4	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included.
5–6	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included.
7–8	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used mostly appropriately. Where appropriate, relevant diagram(s) are included and explained.

9–10	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained.
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1. (b) Using real-world examples, evaluate the view that carbon taxes are the most effective policy to correct market failure caused by pollution. **[15]**

Answers **may** include:

- **Terminology:** Carbon tax, Pigouvian tax, tradable permits, emissions trading scheme (ETS), regulation, subsidies on renewables, negative externality.
- **Diagram:** Negative externality of production diagram showing a per-unit tax shifting MPC up to internalise the externality.
- **Theory:** A carbon tax raises producer costs, shifts supply left, raises price and reduces polluting output. It generates revenue for green investment.
- **Synthesis (evaluate):** Hard to set the 'correct' tax given uncertain valuation of damages. Regressive effects on low-income households. Trade-exposed industries may relocate (carbon leakage). Alternatives include cap-and-trade (certainty on quantity, price volatile), regulation (effective but inflexible), and subsidies for clean tech. A policy mix often works best.
- **Example(s):** Sweden's carbon tax, EU ETS, British Columbia's revenue-neutral carbon tax, the US Inflation Reduction Act's subsidies.

Assessment Criteria — Part (b) 15 marks

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1–3	The response indicates little understanding of the specific demands of the question. Economic theory is stated but it is not relevant. Economic terms are stated but they are not relevant. The response contains no evidence of synthesis or evaluation. A real-world example(s) is identified but it is irrelevant.
4–6	The response indicates some understanding of the specific demands of the question. Relevant economic theory is described. Some relevant economic terms are included. The response contains evidence of superficial synthesis or evaluation. A relevant real-world example(s) is identified.
7–9	The response indicates understanding of the specific demands of the question, but these demands are only partially addressed. Relevant economic theory is partly explained. Some relevant economic terms are used appropriately. Where appropriate, relevant diagram(s) are included. The response contains evidence of appropriate synthesis or evaluation but lacks balance. A relevant real-world example(s) is identified and partly developed in the context of the question.

10–12	The specific demands of the question are understood and addressed. Relevant economic theory is explained. Relevant economic terms are used mostly appropriately. Where appropriate, relevant diagram(s) are included and explained. The response contains evidence of appropriate synthesis or evaluation that is mostly balanced. A relevant real-world example(s) is identified and developed in the context of the question.
13–15	The specific demands of the question are understood and addressed. Relevant economic theory is fully explained. Relevant economic terms are used appropriately throughout the response. Where appropriate, relevant diagram(s) are included and fully explained. The response contains evidence of effective and balanced synthesis or evaluation. A relevant real-world example(s) is identified and fully developed to support the argument.

2. (a) Explain, using an AD/AS diagram, the difference between demand-pull inflation and cost-push inflation. **[10]**

Answers **may** include:

- **Terminology:** Demand-pull inflation, cost-push inflation, aggregate demand, aggregate supply, SRAS, LRAS, average price level.
- **Diagrams:** Two AD/AS diagrams — one with AD shifting right (demand-pull), another with SRAS shifting left (cost-push). Labels must be complete.
- **Theory:** Demand-pull arises from excess AD (e.g. consumer boom, fiscal/monetary stimulus). Cost-push arises from rising production costs (oil shocks, wage push, weaker currency raising import prices).

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2. (b) Using real-world examples, discuss the view that contractionary monetary policy is always more effective than contractionary fiscal policy in reducing a high rate of inflation. **[15]**

Answers **may** include:

- **Terminology:** Central-bank independence, policy rate, money supply, fiscal consolidation, automatic stabilisers, crowding out.
- **Diagram:** AD/AS diagram showing a leftward shift in AD reducing the price level.
- **Theory:** Higher interest rates reduce C and I; stronger currency reduces import prices. Tighter fiscal policy (higher taxes, lower G) reduces AD directly.
- **Synthesis (evaluate):** Monetary policy is quicker to deploy and politically easier, but blunt and effective mainly on demand-pull inflation. Fiscal policy can target specific sources of inflation (e.g. VAT cuts on energy to reduce cost-push), but suffers from political and time lags. Supply-side factors (e.g. oil shocks) may require non-AD policies. The best response typically combines tools.
- **Example(s):** Fed rate hikes 2022–23, ECB tightening, UK fiscal energy subsidies 2022–23, Turkey's unconventional rate cuts and resulting inflation.

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3. (a) Using a diagram, explain how a tariff imposed on imported goods affects domestic producers, consumers and the government. **[10]**

Answers **may** include:

- **Terminology:** Tariff, world price, domestic supply/demand, consumer surplus, producer surplus, government revenue, dead-weight loss.
- **Diagram:** A full tariff diagram with world supply, world supply plus tariff, and clearly labelled areas for consumer-surplus loss, producer-surplus gain, government revenue and welfare loss.
- **Theory:** Consumers lose surplus, domestic producers gain surplus, government gains revenue, but the two welfare-loss triangles mean society is worse off overall.

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3. (b) Using real-world examples, evaluate the view that free trade always benefits developing economies more than it benefits developed economies. **[15]**

Answers **may** include:

- **Terminology:** Comparative advantage, free trade, terms of trade, primary product dependency, infant industry, sunrise industry, trade liberalisation, Prebisch–Singer.
- **Diagram:** Consumer/producer surplus analysis of moving from autarky/tariff to free trade; or a PPC shifting outward.
- **Theory:** Free trade allows developing countries to exploit comparative advantage, access larger markets, attract FDI, import technology, and reduce poverty.
- **Synthesis (evaluate):** Developed economies can benefit at least as much: cheap imports, new export markets, consumer welfare, and strong negotiating leverage that yields favourable terms of trade. Developing countries can be locked into low-value primary exports, suffer from declining terms of trade, and struggle to develop sunrise industries without protection.
- **Example(s):** China's post-WTO growth (developing), US/EU bargaining power in trade deals, Vietnam's CPTPP benefits, sub-Saharan African commodity exporters.

Assessment Criteria — Part (b) 15 marks

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